

Notes: Bertrand, Bombardini, and Trebbi (AER, 2014)
Is It Whom You Know or What You Know?
An Empirical Assessment of the Lobbying Process

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1 Big picture

- **Question.** The paper asks what lobbyists actually sell in the US federal lobbying market: issue-specific expertise, personal access to politicians, or both.
- **Two views of lobbying.** The “what you know” view says lobbyists are experts who transmit useful information to policymakers. The “whom you know” view says lobbyists mainly provide access to politicians through personal and political connections.
- **Core data contribution.** The authors assemble a large individual-lobbyist dataset from Senate Office of Public Records (SOPR) lobbying reports, Federal Election Commission (FEC) campaign contributions, congressional committee assignments, and biographical information from www.lobbyists.info.
- **Connection measure.** A lobbyist-politician pair is classified as connected when the lobbyist makes a campaign contribution to that politician in a congressional cycle.
- **Expertise measure.** A lobbyist is treated as more expert or specialized when the dollar value of the lobbyist’s work is concentrated in a narrow set of lobbying issues.
- **Main connection result.** Lobbyists work on issues that overlap with the committee jurisdictions of politicians to whom they contribute. More importantly, when connected politicians move to new committees, lobbyists tend to follow them into the politicians’ new issue areas.
- **Main expertise result.** Among lobbyists connected to a politician, specialists are more likely than nonspecialists to come from the opposite political party. This is consistent with informational lobbying models in which opposite-bias experts can make information more credible.
- **Main returns result.** Both relevant issue specialists and relevant connected lobbyists are associated with higher report values, but the premium for connections is larger and more consistent.
- **Political-cycle result.** Republican lobbyists earn a higher revenue premium when Republicans control more political power in Washington, which suggests that the market value of political access varies with who is in office.
- **Issue-cycle result.** When an issue becomes hot, the adjustment occurs mainly through entry of additional nonspecialists, not through a higher return to existing issue specialists.
- **Economic takeaway.** The lobbying process is not purely about expertise and not purely about access. Both matter, but connections appear to be the scarcer and more reliably compensated asset.

2 Incremental contribution of the paper

- **From interest groups to lobbyists as intermediaries.** Much of the theoretical literature studies information transmission from interest groups to politicians. This paper shifts the unit of analysis to the intermediary: the individual lobbyist.
- **A comprehensive individual-level lobbying database.** The paper builds a dataset covering roughly the entire federal lobbying industry over 1999–2008, identifying about 37,000 lobbyists and linking them to lobbying records, issues, report values, and campaign contributions.

- **Empirical separation of access and expertise.** The paper creates separate empirical proxies for personal connections and issue expertise, allowing the two views of lobbying to be tested in the same framework.
- **Dynamic evidence on connections.** The committee-switching test is especially informative: lobbyists do not merely happen to know politicians who already work on their issues; they move into new issues when their connected politicians move.
- **A new indirect test of informational lobbying.** The opposite-bias test uses a prediction from multiple-sender communication models: experts from the opposite political party are more useful because their information can discipline same-side bias.
- **Pricing evidence.** The paper asks what the market pays for by studying report-level dollar amounts and individual lobbyist fixed effects. This connects political economy theories of lobbying to market valuation.
- **Scarcity interpretation.** The evidence suggests that issue expertise is easier to enter or replicate, while connections - especially to the party in power - are more scarce and therefore command higher premia.
- **Contribution to governance and political economy.** The paper clarifies why the revolving-door and K Street markets are valuable: political experience and access may create reputational, informational, and relational capital that is hard to reproduce quickly.

3 Data and measurement

3.1 Lobbying records

- The main lobbying data come from SOPR reports filed under the Lobbying Disclosure Act.
- The sample covers federal lobbying activity from 1999 to 2008.
- Each report identifies the registering firm, client, issues covered, individual lobbyists listed on the report, and the dollar amount spent on lobbying services.
- The authors identify about 37,000 individual lobbyists over the sample period.
- Lobbyists are divided into **in-house lobbyists**, where the registering firm is the client, and **external lobbyists**, where a lobbying firm represents another organization.

Interpretation: The SOPR data make it possible to observe what each lobbyist works on, which clients and reports the lobbyist is associated with, and how much the lobbying service is valued at the report level.

3.2 Biographical data

- The authors use `www.lobbyists.info` to obtain lobbyist background information.
- About 14,000 of the 37,000 SOPR lobbyists are matched to the online directory.

- The biographies are searched for indicators of Republican or Democratic affiliation, former member of Congress status, White House experience, House or Senate experience, aide experience, counsel experience, and other political background variables.
- These indicators are time-invariant and are used to assess whether political biographies predict connections and expertise.

Interpretation: The biographical data are important for validating the connection measure. If campaign contributions capture genuine relationships, then politically connected backgrounds should predict more campaign-contribution links.

3.3 Campaign contributions as connections

- The connection measure comes from FEC individual contribution records.
- A lobbyist-politician pair is connected in a Congress if the lobbyist made at least one campaign contribution to that politician in that Congress.
- The authors also define a stronger connection measure based on whether the lobbyist has at least five connections in a typical Congress.
- The FEC data identify 143,033 unique politician-lobbyist-Congress links, with 796 unique politicians, 12,514 unique lobbyist names, and a median donation of \$500.

Interpretation: The authors do not interpret campaign contributions mainly as buying votes. Instead, they use contributions as a scalable proxy for preexisting access and relationships.

3.4 Measuring expertise

For report r at time t , the report has a dollar value V_{rt} , a list of lobbyists, and a list of issues. The paper assigns report value symmetrically across listed lobbyists and issues. For lobbyist l , the total value associated with issue i is V_{il} , and the total value across issues is V_l . The issue-concentration measure is

$$HHI_l = \sum_{i=1}^I \left(\frac{V_{il}}{V_l} \right)^2.$$

- A higher HHI_l means the lobbyist’s work is more concentrated in fewer issues.
- A lobbyist is coded as a **specialist** if at least one-quarter of assignments in every active year are on the same issue.
- A lobbyist is coded as a **generalist** if the lobbyist never spends more than one-quarter of assignments on the same issue in any active year.

Interpretation: Expertise is inferred from revealed specialization in lobbying assignments. The measure is not a direct test of technical knowledge, but it captures whether a lobbyist repeatedly works in a narrow policy area.

3.5 Committee assignments and issue overlap

- Congressional committee assignments are mapped into SOPR issue categories.
- For each lobbyist-politician pair and congressional cycle, the authors measure how much the issues covered by the lobbyist overlap with the issues associated with the politician’s committee assignments.
- The overlap measures are used to test whether lobbyists work on issues relevant to politicians they are connected to.

Interpretation: This mapping is the bridge between the lobbying market and legislative power. A lobbyist is valuable to a client only if the lobbyist’s access is relevant for the policy issue being lobbied.

4 Models and empirical specifications

4.1 Correlates of connections and expertise

The paper first studies whether lobbyists with political backgrounds are more connected or more specialized:

$$Y_l = \alpha + B'X_l + \varepsilon_l,$$

where Y_l is either a connection measure or an expertise measure, and X_l contains lobbyist background indicators.

- Connection outcomes include any campaign-contribution connection and having many connections.
- Expertise outcomes include the specialist dummy and issue-based HHI.
- The regressions are descriptive and help validate the two constructed measures.

Interpretation: If political insiders are more connected but not more specialized, the data support the view that connections and expertise are distinct assets.

4.2 Issue-overlap regressions

For each lobbyist-politician pair in a given Congress, the paper estimates whether connected pairs have greater issue overlap:

$$Overlap_{lpt} = \alpha + \beta Connection_{lpt} + \Gamma' Z_{lpt} + \gamma_p + \phi_l + \varepsilon_{lpt}.$$

- $Overlap_{lpt}$ is either the number of legislator issues covered by the lobbyist or an indicator for full issue overlap.
- $Connection_{lpt}$ equals one if the lobbyist made a campaign contribution to the politician in that Congress.
- Specifications include politician fixed effects or lobbyist fixed effects.

- Controls include party alignment and House/Senate background links.

Interpretation: A positive β means connected lobbyists are systematically working on issues related to the legislative authority of their connected politicians.

4.3 Committee-switching or “following” regression

The core dynamic connection test focuses on politicians who switch committee assignments between Congress t and Congress $t + 1$. The estimating equation is

$$N_{lp,t+1} = \alpha_0 + \alpha_1 C_{lpt} + \alpha_2 O_{lpt} + \alpha_3 F_{lp,t+1} + \gamma_p + \phi_l + \theta_t + \varepsilon_{lp,t+1}.$$

- $N_{lp,t+1}$ is the number of new issues for politician p in Congress $t + 1$ that are also new to lobbyist l .
- C_{lpt} is the prior connection between the lobbyist and politician.
- O_{lpt} controls for issue overlap in the previous Congress.
- $F_{lp,t+1}$ controls for whether the lobbyist already covered the politician’s future new issues.
- Fixed effects absorb time-invariant lobbyist and politician heterogeneity.

Interpretation: This test is central because it asks whether the same lobbyist follows the same politician into new policy areas. That pattern is hard to explain with fixed issue expertise alone.

4.4 Opposite-bias test for informational lobbying

For politician p , Congress t , and specialist status j , define S_{ptj} as the share of connected lobbyists who have the opposite party affiliation. The paper estimates

$$S_{ptj} = \delta_1 + \delta_2 I(j = 1) + \gamma_p + \delta_t + \eta_{ptj}.$$

- $j = 1$ denotes specialist lobbyists; $j = 0$ denotes nonspecialists.
- The key coefficient is δ_2 .
- Informational lobbying models predict $\delta_2 > 0$: politicians may listen across party lines when the lobbyist is an issue expert.

Interpretation: A pure quid pro quo or same-party access model does not naturally predict more opposite-party connections among specialists. The result is therefore indirect evidence that expertise can matter for information transmission.

4.5 Lobbying returns regressions

The report-level value regression is

$$\log(V_{rt}) = \alpha + \beta_S \text{SpecialistMatch}_{rt} + \beta_C \text{RelevantConnection}_{rt} + \Gamma' \text{Controls}_{rt} + F E_{\text{issues}} + F E_{\text{year}} + F E_{\text{type}} + \varepsilon_{rt}.$$

- $\text{SpecialistMatch}_{rt}$ equals one if at least one lobbyist on the report is a specialist in an issue covered by the report.

- $RelevantConnection_{rt}$ equals one if at least one lobbyist on the report is connected to a politician who covers one of the report's issues.
- Controls include team size, average tenure, active years, number of reports per lobbyist, issue fixed effects, report-type fixed effects, and year fixed effects.

The lobbyist-level analysis first estimates individual lobbyist fixed effects from report values, then relates those fixed effects to expertise, connections, and background variables.

Interpretation: The return regressions ask what the market values. If connections carry a larger and more robust premium than specialization, then connections look like the scarcer resource.

5 Identification and empirical design

5.1 What the design can identify

- The paper identifies systematic relationships between lobbyists' connections, issue specialization, assignments, and report values.
- The strongest evidence for connections comes from changes in politicians' committee assignments and lobbyists' subsequent movement into new issues.
- The strongest evidence for expertise comes from the opposite-bias pattern among connected lobbyists.
- The value analysis identifies market premia associated with characteristics, not direct lobbyist wages.

Interpretation: The evidence is not a randomized experiment, but the design combines cross-sectional, dynamic, and pricing evidence to distinguish access from expertise.

5.2 Validation of the connection measure

- The authors compare their FEC-based connection measure to externally known relationships.
- Among lobbyists with family members in Congress, 38.6% make campaign contributions to the family member.
- In a New York Times list of lobbyists with strong ties to John Boehner, the FEC-based measure recovers 52% of the connections.
- The FEC-based measure also recovers 40.5% of the revolving-door lobbyist-politician pairs in Blanes i Vidal, Draca, and Fons-Rosen.
- The authors check that the measure is not systematically driven by tight elections or committee prominence.

Interpretation: Contributions are a noisy proxy for relationships, but the validation exercises show they capture meaningful political ties.

5.3 Selection and interpretation concerns

- Campaign contributions could reflect strategic or electoral motives rather than preexisting relationships.
- Expertise is inferred from issue concentration, so a specialist may not literally be a technical expert and a generalist may still rely on experts in the firm or client organization.
- Report values are team-level amounts; the contribution of each listed lobbyist cannot be directly observed.
- Committee switching may not be random, so the authors include politician and lobbyist fixed effects and also implement a selection correction based on committee openings and legislator seniority.
- The opposite-bias test is indirect because actual information flows are not observed.

Interpretation: The empirical design is best read as a triangulation exercise: no single test proves the full mechanism, but the combined evidence points to both access and expertise, with stronger monetary returns to access.

6 Tables and figures

6.1 Table 1: The lobbyists summary statistics

Read:

- Table 1 reports summary statistics for the universe of individual lobbyists identified in SOPR.
- The sample contains 36,982 lobbyists; 41.6% are in-house lobbyists.
- The average lobbyist appears in the data for 3.898 active years and is attached to 4.692 lobbying records per year.
- Among the 13,720 lobbyists matched to `www.lobbyists.info`, 10.6% have Republican associations and 9.2% have Democratic associations.
- Former members of Congress are rare, about 1.2%, but aides and Senate-experienced lobbyists are much more common.

Economic message: The lobbying industry is large and politically embedded. The table also shows why the paper can study both professional specialization and revolving-door political backgrounds.

TABLE 1—THE LOBBYISTS SUMMARY STATISTICS

	Observations	Mean	SD
In-house lobbyist	36,982	0.416	0.493
Number of lobbying records/year	36,982	4.692	9.755
Number of active years	36,982	3.898	2.880
Tenure	36,982	1.709	1.605
Any biographical information on www.lobbyists.info	13,720	0.940	0.238
Republican	13,720	0.106	0.308
Democrat	13,720	0.092	0.289
Former member of Congress	13,720	0.012	0.109
Of which:			
Republican	13,720	0.006	0.079
Democrat	13,720	0.006	0.074
Senate	13,720	0.003	0.056
House	13,720	0.010	0.099
Past experience in/as:			
White House	13,720	0.023	0.149
Aide	13,720	0.110	0.314
Clerk	13,720	0.014	0.119
Counsel	13,720	0.077	0.267
House (but not as house representative)	13,720	0.007	0.082
Senate (but not as senator)	13,720	0.103	0.304
Experience in the:			
1960s	13,720	0.014	0.116
1970s	13,720	0.048	0.213
1980s	13,720	0.068	0.251
1990s	13,720	0.081	0.273
2000s	13,720	0.063	0.243

Notes: Unique individual lobbyists based on SOPR listed names, standardized by authors. All lobbyists are equally weighted to compute the summary statistics. Experience decade refers to first year of activity.

Table 1: The lobbyists summary statistics.

6.2 Table 2: Correlates of lobbyists' connections to politicians

Read:

- Table 2 asks which biographical characteristics predict campaign-contribution connections to politicians.
- Former members of Congress, Republican-affiliated lobbyists, Democratic-affiliated lobbyists, White House alumni, and lobbyists with Senate experience are more likely to have any connection.
- The same political-background variables predict having many connections, defined as five or more connections.
- The patterns are generally stronger for external lobbyists than for in-house lobbyists.

Economic message: The connection measure behaves like a measure of political capital. Lobbyists with political biographies are exactly the ones who maintain more campaign-contribution links.

Sample	Any connection? ($Y = 1$)					
	All		External		In-house	
	No (1)	Yes (2)	No (3)	Yes (4)	No (5)	Yes (6)
Restrict to at least four active years?						
Former member of Congress	0.12 [0.041]***	0.10 [0.048]**	0.10 [0.044]**	0.09 [0.049]*	0.15 [0.124]	0.05 [0.174]
Republican	0.15 [0.017]***	0.14 [0.021]***	0.12 [0.019]***	0.11 [0.022]***	0.18 [0.035]***	0.15 [0.054]***
Democrat	0.19 [0.018]***	0.19 [0.022]***	0.18 [0.020]***	0.16 [0.023]***	0.10 [0.041]**	0.15 [0.063]**
Experience in/as:						
House (not rep.)	0.10 [0.049]**	0.07 [0.057]	0.09 [0.053]*	0.05 [0.058]	-0.08 [0.131]	-0.10 [0.219]
Senate (not senator)	0.09 [0.016]***	0.08 [0.020]***	0.08 [0.018]***	0.07 [0.021]***	0.07 [0.036]*	0.13 [0.056]**
White House	0.18 [0.028]***	0.17 [0.032]***	0.15 [0.030]***	0.13 [0.032]***	0.23 [0.076]***	0.26 [0.112]**
Aide	0.04 [0.017]**	0.02 [0.020]	0.04 [0.018]**	0.03 [0.021]	-0.04 [0.037]	-0.09 [0.055]
Clerk	0.05 [0.035]	0.03 [0.047]	0.02 [0.036]	0.01 [0.046]	0.05 [0.122]	0.03 [0.219]
Counsel	0.12 [0.017]***	0.10 [0.020]***	0.09 [0.018]***	0.07 [0.021]***	0.10 [0.042]**	0.08 [0.064]
Experience in the:						
1960s	0.07 [0.038]*	0.06 [0.043]	0.05 [0.040]	0.05 [0.044]	0.12 [0.120]	0.06 [0.182]
1970s	0.12 [0.022]***	0.11 [0.025]***	0.10 [0.023]***	0.10 [0.025]***	0.04 [0.065]	0.09 [0.092]
1980s	0.12 [0.019]***	0.09 [0.021]***	0.10 [0.020]***	0.07 [0.022]***	0.05 [0.053]	0.04 [0.073]
1990s	0.11 [0.019]***	0.08 [0.023]***	0.09 [0.021]***	0.07 [0.023]***	0.09 [0.050]	0.08 [0.073]
2000s	-0.05 [0.020]**	-0.04 [0.026]	-0.05 [0.022]**	-0.03 [0.027]	-0.06 [0.048]	-0.06 [0.075]
R^2	0.09	0.08	0.08	0.08	0.03	0.03
Observations	13,720	8,004	9,325	5,788	4,395	2,216

(a) Table 2, columns 1–6: any connection.

Sample	Many ($>=5$) connections? ($Y = 1$)					
	All		External		In-house	
	No (7)	Yes (8)	No (9)	Yes (10)	No (11)	Yes (12)
Restrict to at least four active years?						
Former member of Congress	0.14 [0.024]***	0.12 [0.032]***	0.13 [0.029]***	0.12 [0.038]***	0.16 [0.036]***	0.04 [0.049]
Republican	0.10 [0.010]***	0.11 [0.014]***	0.10 [0.012]***	0.12 [0.017]***	0.05 [0.010]***	0.05 [0.015]***
Democrat	0.14 [0.010]***	0.17 [0.014]***	0.15 [0.013]***	0.18 [0.017]***	0.02 [0.012]*	0.02 [0.018]
Experience in/as:						
House (not rep.)	0.07 [0.029]**	0.08 [0.038]**	0.08 [0.035]**	0.07 [0.044]	-0.02 [0.038]	-0.04 [0.062]
Senate (not senator)	0.04 [0.009]***	0.05 [0.013]***	0.05 [0.012]***	0.05 [0.016]***	-0.01 [0.011]	0.00 [0.016]
White House	0.10 [0.016]***	0.11 [0.021]***	0.10 [0.020]***	0.10 [0.025]***	0.07 [0.022]***	0.03 [0.032]
Aide	-0.01 [0.010]	-0.01 [0.013]	0.00 [0.012]	-0.01 [0.016]	-0.02 [0.011]*	-0.02 [0.016]
Clerk	0.00 [0.020]	0.01 [0.031]	-0.01 [0.024]	-0.01 [0.036]	-0.01 [0.035]	0.00 [0.062]
Counsel	0.03 [0.010]***	0.03 [0.013]**	0.02 [0.012]*	0.01 [0.016]	0.00 [0.012]	0.00 [0.018]
Experience in the:						
1960s	0.08 [0.022]***	0.10 [0.029]***	0.08 [0.026]***	0.10 [0.034]***	0.06 [0.035]*	0.07 [0.051]
1970s	0.04 [0.013]***	0.04 [0.017]**	0.04 [0.015]***	0.04 [0.020]	-0.02 [0.019]	-0.01 [0.026]
1980s	0.06 [0.011]***	0.05 [0.014]***	0.05 [0.013]***	0.04 [0.017]**	-0.02 [0.015]	0.00 [0.020]
1990s	0.04 [0.011]***	0.03 [0.015]**	0.04 [0.014]***	0.03 [0.018]*	0.00 [0.014]	-0.01 [0.021]
2000s	-0.02* [0.012]	-0.02 [0.017]	-0.02 [0.015]	-0.01 [0.021]	-0.01 [0.014]	-0.02 [0.021]
R^2	0.08	0.08	0.07	0.07	0.02	0.01
Observations	13,720	8,004	9,325	5,788	4,395	2,216

Notes: Unit of observation is an individual lobbyist. All regressions include an experience dummy, indicating the availability of any experience detail as reported in the www.lobbyists.info records, and a constant. Robust standard errors in brackets.
 ***Significant at the 1 percent level.
 **Significant at the 5 percent level.
 *Significant at the 10 percent level.

(b) Table 2, columns 7–12: many connections.

6.3 Table 3: Who makes campaign contributions to whom?

Read:

- Table 3 moves from the lobbyist level to lobbyist-politician pairs.
- Same-party ties strongly predict contributions: Republican lobbyists are more likely to contribute to Republican legislators, while Democratic lobbyists are less likely to contribute to Republican legislators.
- Senate experience predicts contributions to senators, suggesting that institutional background shapes relationship networks.
- The results hold with politician fixed effects or lobbyist fixed effects.

Economic message: Lobbying connections are not random. They are structured by party and political career paths, which reinforces the interpretation of campaign contributions as a proxy for access and social networks.

Lobbyist makes at least one campaign contribution to that legislator in that Congress			
Congress	108th		
	(1)	(2)	(3)
Republican congressman	−0.001 [0.0001]***		−0.001 [0.0001]***
Republican lobbyist	−0.002 [0.0003]***	−0.002 [0.0003]***	
Republican congressman × Republican lobbyist	0.008 [0.0006]***	0.009 [0.0006]***	0.008 [0.0006]***
Democratic lobbyist	0.011 [0.0008]***	0.011 [0.0008]***	
Republican congressman × Democratic lobbyist	−0.011 [0.0008]***	−0.011 [0.0008]***	−0.011 [0.0008]***
Senator	0.004 [0.0002]***		0.004 [0.0002]***
Lobbyist has Senate experience	−0.0001 [0.0004]	−0.0001 [0.0004]	
Lobbyist has House experience	0.006 [0.0020]***	0.006 [0.0020]***	
Senator × lobbyist has Senate experience	0.010 [0.0009]***	0.010 [0.0009]***	0.010 [0.0009]***
House representative × lobbyist has House experience	−0.004 [0.0015]**	−0.004 [0.0015]**	−0.004 [0.0015]**
Congressman fixed effects	No	Yes	No
Lobbyist fixed effects	No	No	Yes
R ²	0.00	0.02	0.02
Observations	4,583,816	4,583,816	4,583,816

(Continued)

(a) Table 3, 108th Congress.

Lobbyist makes at least one campaign contribution to that legislator in that Congress			
Congress	107th		
	(4)	(5)	(6)
Republican congressman	−0.0002 [0.0001]**		−0.0002 [0.0001]**
Republican lobbyist	−0.002 [0.0003]***	−0.002 [0.0003]***	
Republican congressman × Republican lobbyist	0.007 [0.0006]***	0.007 [0.0006]***	0.007 [0.0006]***
Democratic lobbyist	0.008 [0.0008]***	0.008 [0.0008]***	
Republican congressman × Democratic lobbyist	−0.009 [0.0007]***	−0.009 [0.0007]***	−0.009 [0.0007]***
Senator	0.002 [0.0001]***		0.002 [0.0001]***
Lobbyist has Senate experience	0.0002 [0.0004]	0.0002 [0.0004]	
Lobbyist has House experience	0.007 [0.0022]***	0.007 [0.0022]***	
Senator × lobbyist has Senate experience	0.009 [0.0009]***	0.009 [0.0009]***	0.009 [0.0009]***
House representative × lobbyist has House experience	−0.004 [0.0017]**	−0.004 [0.0017]**	−0.004 [0.0017]**
Congressman fixed effects	No	Yes	No
Lobbyist fixed effects	No	No	Yes
R ²	0.00	0.01	0.02
Observations	3,992,934	3,992,934	3,992,934

Notes: Unit of observation is a lobbyist-politician pair. Within each Congress, we restrict ourselves to the subset of lobbyists for whom we could find background information on www.lobbyist.info and are active during that cycle and to the subset of politicians that are members of Congress during that cycle. Robust standard errors in brackets are clustered at the lobbyist level.

***Significant at the 1 percent level.

**Significant at the 5 percent level.

*Significant at the 10 percent level.

(b) Table 3, 107th Congress.

6.4 Table 4: Correlates of lobbyists' expertise

Read:

- Table 4 asks which lobbyists are issue specialists.
- Republican and Democratic affiliations are negatively related to being a specialist and to the issue-based HHI measure.
- White House experience is also negatively associated with specialization in several specifications.
- Political insiders are therefore not simply technical experts in disguise.

Economic message: Connections and expertise are empirically distinct. Political background predicts access more than issue specialization, suggesting that the two assets can be separately studied.

TABLE 4—CORRELATES OF LOBBYISTS' EXPERTISE

Sample	Specialist ($Y = 1$)					
	All		External		In-house	
	No (1)	Yes (2)	No (3)	Yes (4)	No (5)	Yes (6)
Restrict to at least four active years?						
Former Member of Congress	-0.02 [0.040]	-0.03 [0.040]	-0.06 [0.042]	-0.05 [0.042]	0.36 [0.129]***	0.19 [0.142]
Republican	-0.04 [0.016]**	-0.04 [0.017]***	-0.04 [0.018]**	-0.05 [0.018]**	-0.04 [0.036]	-0.04 [0.044]
Democrat	-0.05 [0.017]***	-0.06 [0.018]***	-0.06 [0.019]***	-0.07 [0.019]***	-0.01 [0.042]	-0.04 [0.051]
Experience in/as:						
House (not rep.)	0.02 [0.048]	0.09 [0.047]*	0.02 [0.051]	0.08 [0.049]*	0.02 [0.136]	0.27 [0.178]
Senate (not senator)	-0.01 [0.016]	0.03 [0.016]*	0.00 [0.017]	0.04 [0.018]**	-0.05 [0.038]	-0.02 [0.046]
White House	-0.09 [0.027]***	-0.05 [0.026]**	-0.10 [0.029]***	-0.06 [0.027]**	-0.05 [0.079]	0.07 [0.091]
Aide	0.00 [0.016]	0.03 [0.016]**	-0.01 [0.018]	0.04 [0.018]**	0.03 [0.039]	0.01 [0.045]
Clerk	0.05 [0.034]	-0.03 [0.038]	0.05 [0.035]	-0.03 [0.039]	-0.04 [0.127]	-0.06 [0.179]
Counsel	-0.02 [0.016]	0.00 [0.016]	-0.04 [0.018]**	0.00 [0.018]	0.03 [0.044]	-0.02 [0.052]
Experience in the:						
1960s	0.07 [0.036]*	0.07 [0.036]**	0.06 [0.038]	0.06 [0.037]	0.05 [0.124]	0.14 [0.148]
1970s	-0.03 [0.021]	0.02 [0.021]	-0.03 [0.022]	0.02 [0.022]	-0.05 [0.068]	-0.02 [0.075]
1980s	-0.03 [0.018]*	0.00 [0.018]	-0.03 [0.019]	-0.01 [0.019]	-0.01 [0.055]	0.04 [0.059]
1990s	-0.02 [0.019]	0.02 [0.019]	-0.03 [0.020]	0.01 [0.020]	0.01 [0.051]	0.06 [0.059]
2000s	0.05 [0.020]**	-0.02 [0.021]	0.06 [0.022]***	-0.01 [0.023]	-0.04 [0.050]	-0.14 [0.061]**
R^2	0.00	0.00	0.01	0.01	0.00	0.01
Observations	13,720	8,004	9,325	5,788	4,395	2,216

TABLE 4—CORRELATES OF LOBBYISTS' EXPERTISE (Continued)

Sample	Issue-based HHI					
	All		External		In-house	
	No (7)	Yes (8)	No (9)	Yes (10)	No (11)	Yes (12)
Restrict to at least four active years?						
Former member of Congress	-0.01 [0.028]	-0.04 [0.030]	-0.03 [0.030]	-0.06 [0.031]*	0.15 [0.093]	0.18 [0.112]
Republican	-0.06 [0.012]***	-0.08 [0.013]***	-0.08 [0.013]***	-0.10 [0.014]***	-0.04 [0.026]	-0.04 [0.035]
Democrat	-0.07 [0.012]***	-0.08 [0.014]***	-0.09 [0.013]***	-0.10 [0.014]***	-0.03 [0.031]	-0.06 [0.040]
Experience in/as:						
House (not rep.)	0.03 [0.034]	0.05 [0.036]	0.03 [0.036]	0.04 [0.036]	-0.02 [0.099]	0.18 [0.141]
Senate (not senator)	-0.02 [0.011]*	-0.01 [0.012]	-0.02 [0.012]*	-0.01 [0.013]	-0.03 [0.027]	-0.04 [0.036]
White House	-0.04 [0.019]**	-0.03 [0.020]	-0.05 [0.020]**	-0.04 [0.020]**	-0.05 [0.058]	0.02 [0.072]
Aide	-0.02 [0.011]*	0.00 [0.012]	-0.04 [0.013]***	0.00 [0.013]	0.03 [0.028]	0.01 [0.036]
Clerk	0.04 [0.024]*	0.03 [0.029]	0.03 [0.025]	0.03 [0.029]	-0.05 [0.092]	-0.12 [0.141]
Counsel	0.02 [0.012]*	0.03 [0.012]**	0.01 [0.012]	0.02 [0.013]	0.00 [0.032]	-0.03 [0.041]
Experience in the:						
1960s	0.08 [0.026]***	0.08 [0.027]***	0.08 [0.027]***	0.07 [0.028]**	0.13 [0.090]	0.08 [0.117]
1970s	0.03 [0.015]**	0.04 [0.016]**	0.04 [0.016]**	0.04 [0.016]**	-0.08 [0.049]	-0.06 [0.059]
1980s	0.01 [0.013]	0.01 [0.013]	0.00 [0.014]	0.00 [0.014]	0.01 [0.040]	0.03 [0.047]
1990s	-0.02 [0.013]	0.00 [0.014]	-0.02 [0.014]	-0.01 [0.015]	0.01 [0.037]	0.05 [0.047]
2000s	0.01 [0.014]	-0.02 [0.016]	0.01 [0.015]	-0.01 [0.017]	-0.01 [0.036]	-0.06 [0.048]
R^2	0.01	0.02	0.03	0.03	0.00	0.01
Observations	13,720	8,004	9,325	5,788	4,395	2,216

(a) Table 4, columns 1–6: specialist dummy.

(b) Table 4, columns 7–12: issue-based HHI.

6.5 Table 5: Connections and issue overlap

Read:

- Table 5 tests whether connected lobbyist-politician pairs work on overlapping issues.
- A contribution connection is associated with a larger number of overlapping issues in both the 108th and 107th Congresses.
- In the 108th Congress, the likelihood of perfect issue overlap rises by about 2.9 percentage points in one specification, relative to a baseline probability of roughly 11.5%.
- The estimates survive controls for party alignment, chamber-specific experience, and fixed effects.

Economic message: Connected lobbyists tend to work on the policy areas controlled by the politicians they know. This is direct evidence that connections help determine work assignments.

TABLE 5—DO CONNECTIONS THROUGH CAMPAIGN CONTRIBUTIONS CORRELATE WITH OVERLAPPING ISSUES BETWEEN LOBBYISTS AND CONGRESSMEN?

Congress	108th			
	Number of issues covered by the legislator in Congress (i) that the lobbyist covers in Congress (i)		Lobbyist works on all the issues covered by the legislator in Congress (i) (Y = 1)	
	(1)	(2)	(3)	(4)
Lobbyist made at least one campaign contribution to that congressman in Congress (i)? (Y = 1)	0.913 [0.0531]***	0.435 [0.0261]***	0.029 [0.0024]***	0.019 [0.0031]***
Republican lobbyist	0.576 [0.0538]***		0.014 [0.0018]***	
Republican congressman × Republican lobbyist	0.031 [0.0031]***	0.036 [0.0032]***	0.001 [0.0002]***	0.001 [0.0002]***
Democratic lobbyist	0.452 [0.0542]***		0.014 [0.0019]***	
Republican congressman × Democratic lobbyist	0.043 [0.0036]***	0.038 [0.0034]***	0.001 [0.0002]***	0.001 [0.0002]***
Lobbyist has Senate experience	0.045 [0.0513]		0.004 [0.0023]*	
Senator × lobbyist has Senate experience	0.299 [0.0334]***	0.304 [0.0336]***	-0.014 [0.0020]***	-0.014 [0.0020]***
Lobbyist has House experience	0.312 [0.1726]*		-0.009 [0.0010]***	
House representative × lobbyist has House experience	-0.277 [0.0781]***	-0.279 [0.0782]***	0.010 [0.0046]**	0.010 [0.0046]**
Republican congressman		0.083 [0.0010]***	0.019 [0.0001]***	
Senator		0.828 [0.0102]***	-0.102 [0.0007]***	
Constant	1.0334 [0.0138]***	0.9766 [0.0027]***	0.1115 [0.0006]***	0.1235 [0.0002]***
R ²	0.21	0.42	0.76	0.04
Observations	4,583,816	4,583,816	4,583,816	4,583,816
Lobbyist FEs	No	Yes	No	Yes
Congressman FEs	Yes	No	Yes	No

(Continued)

TABLE 5—DO CONNECTIONS THROUGH CAMPAIGN CONTRIBUTIONS CORRELATE WITH OVERLAPPING ISSUES BETWEEN LOBBYISTS AND CONGRESSMEN? (Continued)

Congress	107th			
	Number of issues covered by the legislator in Congress (i) that the lobbyist covers in Congress (i)		Lobbyist works on all the issues covered by the legislator in Congress (i) (Y = 1)	
	(5)	(6)	(7)	(8)
Lobbyist made at least one campaign contribution to that congressman in Congress (i)? (Y = 1)	1.023 [0.0670]***	0.400 [0.0361]***	0.024 [0.0027]***	0.017 [0.0039]***
Republican lobbyist	0.519 [0.0616]***		0.011 [0.0018]***	
Republican congressman × Republican lobbyist	0.017 [0.0026]***	0.021 [0.0026]***	0.002 [0.0003]***	0.003 [0.0003]***
Democratic lobbyist	0.521 [0.0641]***		0.013 [0.0018]***	
Republican congressman × Democratic lobbyist	0.034 [0.0032]***	0.029 [0.0029]***	0.003 [0.0003]***	0.003 [0.0003]***
Lobbyist has Senate experience	0.087 [0.0588]		0.003 [0.0022]	
Senator × lobbyist has Senate experience	0.326 [0.0383]***	0.331 [0.0384]***	-0.012 [0.0020]***	-0.012 [0.0020]***
Lobbyist has House experience	0.205 [0.1767]		-0.008 [0.0010]***	
House representative × lobbyist has House experience	-0.228 [0.0796]***	-0.230 [0.0799]***	0.010 [0.0042]**	0.010 [0.0042]**
Republican congressman		0.054 [0.0008]***	0.048 [0.0001]***	
Senator		0.850 [0.0115]***	-0.101 [0.0007]***	
Constant	1.049 [0.0152]***	1.0088 [0.0030]***	0.1387 [0.0006]***	0.1342 [0.0001]***
R ²	0.23	0.39	0.81	0.03
Observations	3,992,934	3,992,934	3,992,934	3,992,934
Lobbyist FEs	No	Yes	No	Yes
Congressman FEs	Yes	No	Yes	No

Notes: Unit of observation is a lobbyist-politician pair. Within each Congress, we restrict ourselves to the subset of active lobbyists and to the subset of politicians who are Members of Congress during that cycle. Robust standard errors in brackets are clustered at the lobbyist level.

***Significant at the 1 percent level.

**Significant at the 5 percent level.

*Significant at the 10 percent level.

(a) Table 5, 108th Congress.

(b) Table 5, 107th Congress.

6.6 Tables 6 and 7: Following politicians and the opposite-bias test

Read:

- Table 6 studies politicians who switch committee assignments and asks whether connected lobbyists follow them into new issue areas.
- The coefficient on prior connection is positive across specifications, including models with lobbyist and politician fixed effects.
- Given that the mean new-issue overlap is about 0.16, the estimates imply economically large increases in the probability of following.
- Table 7 studies connected lobbyists and shows that specialists are more likely than nonspecialists to have the opposite party affiliation from the politician.
- The pooled estimate is about 9 percentage points, compared with an opposite-party nonspecialist share of about 17%.

Economic message: Table 6 is the strongest evidence for the connections view: lobbyists follow people, not just issues. Table 7 is the strongest evidence for the expertise view: politicians appear more willing to listen across party lines when the lobbyist is an issue specialist.

TABLE 6—DO LOBBYISTS FOLLOW POLITICIANS THEY ARE CONNECTED TO AS THOSE POLITICIANS SWITCH COMMITTEE ASSIGNMENTS?

	(1)	(2)	(3)	(4)
<i>Panel A. Number of new issues for the legislator and for the lobbyist in Congress ($t + 1$)</i>				
Lobbyist made at least one campaign contribution to that congressman in Congress (t)? ($Y = 1$)	0.123 [0.008]***	0.119 [0.008]***	0.04 [0.007]***	0.03 [0.007]***
Number of new issues for the legislator in Congress ($t + 1$) that the lobbyist covers in Congress (t)	0.166 [0.002]***	0.133 [0.002]***	0.135 [0.002]***	0.09 [0.002]***
Number of issues covered by the legislator in Congress (t) that the lobbyists covers in Congress (t)	0.004 [0.000]***	0.008 [0.000]***	-0.023 [0.001]***	-0.03 [0.001]***
Observations	8,834,550	8,834,550	8,834,550	8,834,550
Congress FEs	Yes	Yes	Yes	Yes
Lobbyist FEs	No	No	Yes	Yes
Congressman FEs	No	Yes	No	Yes
	(5)	(6)	(7)	(8)
Lobbyist made at least one campaign contribution to that congressman in Congress (t)? ($Y = 1$)	0.031 [0.0110]***	0.044 [0.008]***		
Lobbyist made at least one campaign contribution to that congressman in each Congress the pair is observed in the data, up to Congress (t)? ($Y = 1$)			0.027 [0.01]***	0.056 [0.013]***
Number of new issues for the legislator in Congress ($t + 1$) that the lobbyist covers in Congress (t)	0.083 [0.002]***	0.076 [0.002]***	0.09 [0.002]***	0.084 [0.002]***
Number of issues covered by the legislator in Congress (t) that the lobbyists covers in Congress (t)	-0.037 [0.001]***	-0.017 [0.001]***	-0.03 [0.000]***	-0.023 [0.001]***
Number of issues covered by the legislator in Congress ($t - 1$) that the lobbyists covers in Congress ($t - 1$)			-0.002 [0.001]*	
Inverse Mills ratio from selection equation	0.004 [0.002]***	-0.034 [0.004]***		
Observations	8,834,550	3,555,777	8,834,550	6,583,218
Congress FEs	Yes	Yes	Yes	Yes
Lobbyist FEs	Yes	Yes	Yes	Yes
Congressman FEs	Yes	Yes	Yes	Yes
	(5)	(6)		
<i>Panel B. Selection equation for legislators changing of committee. Committee change by legislator</i>				
Number of openings of congressional committee seats above current average Grosecart rank of legislator	0.005 [0.001]***	0.005 [0.001]***		
Chamber seniority of legislator	-0.130 [0.013]***	-0.130 [0.013]***		
Congress FEs	Yes	Yes		
Observations	1,882	1,882		

Notes: Unit of observation is a lobbyist-politician pair. Within each Congress, we restrict ourselves to the subset of active lobbyists in that cycle and to the subset of active politicians that switch committee assignments between two consecutive Congresses. Robust standard errors in brackets are clustered at the lobbyist level in panel A and politician level in panel B.

*** Significant at the 1 percent level.
** Significant at the 5 percent level.
* Significant at the 10 percent level.

TABLE 7—POLITICIANS AND EXPERT LOBBYISTS

	Share of lobbyists from opposite party connected to the politician by specialist/nonspecialist status				
	(1)	(2)	(3)	(4)	(5)
Specialist? ($Y = 1$)	0.093 [0.010]***	0.098 [0.011]***	0.111 [0.036]***	0.117 [0.030]***	0.107 [0.028]***
Mean of share of opposite-party nonspecialists (percent of all connected nonspecialists)	0.170	0.170	0.172	0.180	0.189
Observations	4,655	4,655	822	900	947
Congress FEs/Congress number	Yes	Yes	106th	107th	108th
Congressman FEs	No	Yes	Yes	Yes	Yes
	(6)	(7)	(8)	(9)	
Specialist? ($Y = 1$)	0.084 [0.022]***	0.069 [0.019]***	0.149 [0.016]***	0.047 [0.015]***	
Mean of share of opposite-party nonspecialists (percent of all connected nonspecialists)	0.168	0.142	0.121	0.218	
Observations	1,022	964	2,282	2,373	
Congress FEs/Congress number	109th	110th	Yes	Yes	
Congressman FEs	Yes	Yes	Yes	Yes	

Notes: Unit of observation is an individual politician. Shares are constructed from connected lobbyists with explicit party affiliations in www.lobbyists.info. Standard errors in brackets clustered at the politician level. Samples/fixed effects structure for columns 1–7 is described below estimates. Column 8 includes only Democrat congressmen and column 9 includes only Republicans.

(a) Table 6: lobbyists follow connected politicians.
(b) Table 7: specialists and opposite-party connections.

6.7 Table 8 and Figure 1: Report-level premia and political cycles

Read:

- Table 8 uses external lobbying reports and regresses the log report amount on team characteristics.
- Having at least one specialist matching a report issue carries a premium of about 3–5%.
- Having at least one relevant connection to a politician covering a report issue carries a larger premium of about 8–10%.
- Political background variables also carry premia: former members of Congress, party-affiliated lobbyists, and especially White House alumni are associated with higher report values.
- Figure 1 shows that the Republican lobbyist revenue premium rises during Republican control and falls after Democratic gains, indicating that the value of access follows political power.

Economic message: The market pays for both expertise and connections, but connections are paid more. The political-cycle figure reinforces the interpretation that access to the party in power is economically valuable.

TABLE 8—VALUING EXPERTISE AND CONNECTIONS: LOBBYING REPORT ANALYSIS,
EXTERNAL LOBBYING ONLY

log (amount)	(1)	(2)	(3)
At least one specialist matching an issue	0.033 [0.004]***	0.035 [0.004]***	0.051 [0.004]***
At least one connection to a politician covering an issue	0.08 [0.004]***	0.097 [0.004]***	0.087 [0.005]***
Average tenure	0.001 [0.002]	−0.01 [0.002]***	−0.01 [0.002]***
Average number of active years	0.008 [0.001]***	0.023 [0.002]***	0.025 [0.002]***
Average number of reports per lobbyist	−0.001 [0.000]***	−0.002 [0.000]***	−0.002 [0.000]***
Share former member of Congress			0.121 [0.013]***
Share Republicans			0.09 [0.006]***
Share Democrats			0.058 [0.007]***
Share with experience in/as:			
House (but not as House rep.)			0.016 [0.016]
Senate (but not as senators)			−0.011 [0.006]*
White House			0.203 [0.010]***
Aides			−0.004 [0.006]
Clerks			0.03 [0.015]**
Counsels			0.07 [0.006]***
Any distinctive experience			−0.136 [0.011]***
Fixed effects for:			
Number of lobbyists included on the report	Yes	Yes	Yes
Report type	Yes	Yes	Yes
Issues covered by the report	Yes	Yes	Yes
Year of report	Yes	Yes	Yes
Only lobbyists in Lobbyist.Info sample?	No	Yes	Yes
R ²	0.25	0.25	0.26
Observations	191,240	165,885	165,885

Notes: Unit of observation is a SOPR report record filed by a registering firm different from the client firm (i.e., filed by external lobbyists). All controls are relative to the pool of individual lobbyists listed on the report, unweighted. Any distinctive experience indicates any experience detail reported in the www.lobbyists.info records. Also included are dummies for lobbyists' experience in the 1960s, 1970s, 1980s, 1990s, and 2000s. Robust standard errors in brackets.
***Significant at the 1 percent level.

(a) Table 8: report-level value premia.

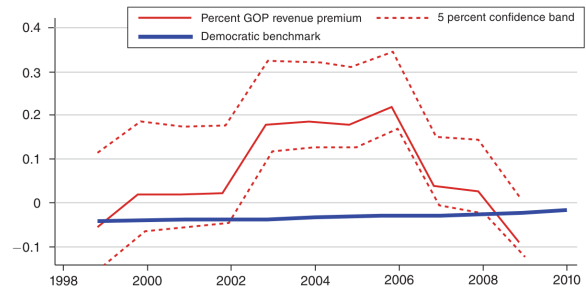


FIGURE 1. REPUBLICAN LOBBYIST REVENUE PREMIUM

(b) Figure 1: Republican lobbyist revenue premium.

6.8 Table 9: Lobbyist-level premia

Read:

- Table 9 estimates individual lobbyist fixed effects from report values and relates those fixed effects to expertise and connections.
- Issue-based HHI is negative, and the specialist dummy does not generate a positive premium.
- Having at least one connection is associated with a positive premium in some specifications.
- Having at least five connections is more robustly positive, with estimates around 6–10%.
- White House experience continues to command a large premium, about 12–15% in many specifications.

Economic message: The individual-level results sharpen the report-level conclusion. Expertise alone does not appear to be the scarce asset; broad political connectivity and high-level political experience do.

TABLE 9—VALUING EXPERTISE AND CONNECTIONS: LOBBYIST-LEVEL ANALYSIS,
EXTERNAL LOBBYISTS WITH AT LEAST SIX YEARS OF ACTIVE EXPERIENCE ONLY

Lobbyist's estimated fixed effect	(1)	(2)	(3)	(4)	(5)	(6)
Issue-based HHI	-0.233 [0.026]***	-0.227 [0.029]***	-0.218 [0.027]***	-0.231 [0.023]***	-0.214 [0.025]***	-0.218 [0.029]***
At least one connection	0.07 [0.017]***	0.03 [0.020]	0.009 [0.019]			
At least five connections				0.076 [0.016]***	0.073 [0.017]***	0.055 [0.019]***
Number of active years	-0.014 [0.008]*	-0.012 [0.008]	-0.006 [0.008]	-0.018 [0.007]**	-0.017 [0.007]**	-0.009 [0.008]
Tenure	0.031 [0.016]	0.04 [0.017]**	0.033 [0.015]**	0.045 [0.014]***	0.045 [0.014]***	0.036 [0.016]**
Former member of Congress			0.017 [0.048]		0.036 [0.050]	
Republican			0.039 [0.024]		0.032 [0.025]	
Democrat			0.034 [0.025]		0.03 [0.026]	
Experience in/as: House (but not as House rep.)			-0.012 [0.061]		-0.024 [0.064]	
Senate (but not as senator)			0.019 [0.022]		0.016 [0.023]	
White House			0.133 [0.034]***		0.119 [0.036]***	
Aide			-0.048 [0.022]**		-0.045 [0.023]*	
Clerk			0.108 [0.047]**		0.133 [0.049]***	
Counsel			0.036 [0.022]		0.033 [0.023]	
Any distinctive experience			-0.071 [0.038]*		-0.04 [0.040]	
Constant	15.055 [0.040]***	15.027 [0.046]***	15.064 [0.056]***	15.067 [0.035]***	15.052 [0.039]***	15.044 [0.059]***
Observations	3,926	2,830	2,830	3,926	2,830	2,830

(Continued)

TABLE 9—VALUING EXPERTISE AND CONNECTIONS: LOBBYIST-LEVEL ANALYSIS,
EXTERNAL LOBBYISTS WITH AT LEAST SIX YEARS OF ACTIVE EXPERIENCE ONLY (Continued)

Lobbyist's estimated fixed effect	(7)	(8)	(9)	(10)	(11)	(12)
Specialist	-0.012 [0.017]	-0.016 [0.019]	-0.005 [0.022]	-0.02 [0.017]	-0.027 [0.021]	-0.009 [0.020]
At least one connection	0.095 [0.016]***	0.062 [0.019]***	0.043 [0.022]*			
At least five connections				0.098 [0.017]***	0.094 [0.020]***	0.073 [0.020]***
Number of active years	-0.01 [0.007]	-0.008 [0.008]	-0.005 [0.009]	-0.014 [0.008]*	-0.013 [0.009]	-0.006 [0.008]
Tenure	0.03 [0.015]**	0.033 [0.017]**	0.026 [0.019]	0.042 [0.015]***	0.044 [0.018]**	0.031 [0.017]*
Former member of Congress			0.085 [0.058]			0.052 [0.053]
Republican			0.061 [0.028]**			0.071 [0.026]***
Democrat			0.046 [0.029]			0.053 [0.027]**
Experience in/as: House (but not as House rep.)			-0.001 [0.074]			0.016 [0.067]
Senate (but not as senator)			0.02 [0.027]			0.013 [0.024]
White House			0.127 [0.041]***			0.145 [0.038]***
Aide			-0.03 [0.027]			-0.03 [0.024]
Clerk			0.103 [0.057]*			0.11 [0.052]**
Counsel			0.044 [0.026]*			0.043 [0.024]*
Any distinctive experience			-0.067 [0.046]			-0.063 [0.042]
Constant	14.928 [0.036]***	14.924 [0.043]***	14.959 [0.066]***	14.964 [0.036]***	14.953 [0.046]***	14.968 [0.060]***
Observations	3,926	2,830	2,830	3,926	2,830	2,830

Notes: Unit of observation is the individual lobbyist, conditional on being observed at least six years in the sample. Dependent variable is the fixed effect of a report-level value regression. Median regressions. Each observation is weighted by the inverse of the standard error on the estimated fixed effects we use as dependent variable. Any distinctive experience indicates any experience detail reported in the www.lobbyists.info records. Also included are dummies for lobbyists' experience in the 1960s, 1970s, 1980s, 1990s, and 2000s. Robust standard errors at in brackets.

*** Significant at the 1 percent level.
** Significant at the 5 percent level.
* Significant at the 10 percent level.

- (a) Table 9, columns 1–6: HHI and connections. (b) Table 9, columns 7–12: specialist dummy and connections.

6.9 Tables 10A and 10B: Issue booms and expertise

Read:

- Table 10A shows that when total spending on an issue increases, the total number of lobbyists working on that issue also increases.
- The coefficient is about 0.50 in differences and 0.49 in levels, so issue booms bring substantial entry.
- The share of specialists falls during issue booms, meaning entry comes mainly from nonspecialists.
- Table 10B shows no evidence that a lobbyist's average return rises when the lobbyist's specialty issue booms.

Economic message: Issue expertise does not look highly scarce. When demand for lobbying on an issue increases, the market expands mainly through entry by nonspecialists, not through higher rents to specialists.

TABLE 10A—ISSUE BOOMS AND EXPERTISE: ISSUE ANALYSIS

	$\Delta \log \text{ total lobbyists in issue}$ (1)	$\log \text{ total lobbyists in issue}$ (2)
$\Delta \log \text{ total amount in issue}$	0.501 [0.062]***	
$\log \text{ total amount in issue}$		0.491 [0.066]***
Issue specific trend	No	Yes
Issue FEs	No	Yes
R^2	0.49	0.98
Observations	684	760
	$\Delta \text{ share specialists in issue}$	$\text{Share specialists in issue}$
$\Delta \log \text{ total amount in issue}$	-0.021 [0.007]***	
$\log \text{ total amount in issue}$		-0.022 [0.006]***
Issue specific trend	No	Yes
Issue FEs	No	Yes
R^2	0.07	0.74
Observations	684	760

Notes: Unit of observation is a SOPR lobbying issue per year. Standard errors are clustered at the issue level.

***Significant at the 1 percent level.

**Significant at the 5 percent level.

TABLE 10B—ISSUE BOOMS AND EXPERTISE: LOBBYIST ANALYSIS

	$\log \text{ per lobbyist amount}$ (1)	$\log \text{ per lobbyist amount}$ (2)
$\Sigma i [\text{Total amount in issue } i \times \text{specialist in issue } i]$	0.000035 [0.000097]	
$\Sigma i [\log \text{ total amount in issue } i \times \text{specialist in issue } i]$		-4,254.96 [9,040.62]
Year FEs	Yes	Yes
Lobbyist FEs	Yes	Yes
R^2	0.48	0.48
Observations	144,137	144,137

Notes: Unit of observation is an individual lobbyist. Standard errors are clustered at the lobbyist level.

***Significant at the 1 percent level.

**Significant at the 5 percent level.

*Significant at the 10 percent level.

(a) Table 10A: issue-level booms.

(b) Table 10B: lobbyist-level returns.

7 Short summary

- The paper studies whether lobbyists' value comes from issue expertise or political connections.
- The data combine SOPR lobbying reports, FEC campaign contributions, congressional committee assignments, and lobbyist biographies.
- Campaign contributions are used as a proxy for lobbyist-politician connections.
- Expertise is measured by how concentrated a lobbyist's work is across SOPR issue categories.
- Politically experienced lobbyists are more connected, while party-affiliated and White House experienced lobbyists are generally less specialized.
- Connected lobbyists work on the same issues as their connected politicians.
- Lobbyists follow connected politicians when those politicians switch committee assignments.
- Specialists are more likely than nonspecialists to be opposite-party lobbyists among a politician's connected lobbyists, consistent with informational lobbying.
- Report-level estimates show premia for both specialists and connected lobbyists, but the connection premium is larger.
- Lobbyist-level fixed-effect estimates show a robust premium for many connections, but no robust premium for specialization.
- Political cycles shift returns to lobbyists affiliated with the party in power.
- Issue booms mainly attract nonspecialist entry and do not raise returns to specialists.

8 Conclusion

8.1 Core conclusion

Bertrand, Bombardini, and Trebbi show that the federal lobbying process uses both information and access. Lobbyists do appear to provide expertise in some settings, especially when politicians listen to specialists from the opposite party. But the more robust empirical pattern is that connections to politicians shape what lobbyists work on and command larger monetary returns.

8.2 Economic intuition

The economic intuition is that a lobbyist can be valuable in two ways. First, she may know the technical details of a policy area. Second, she may know which politician matters, how to reach that politician, what the politician cares about, and how to communicate credibly. The evidence suggests that the second asset is harder to replicate. When an issue becomes important, new nonspecialist lobbyists can enter; when political control changes, the value of partisan connections changes sharply.

8.3 Incremental contribution revisited

The paper advances the lobbying literature by measuring connections and specialization at the individual lobbyist level and by using dynamic committee changes to distinguish access from fixed issue expertise. It also contributes a novel opposite-bias test for informational lobbying and a market-value analysis of what lobbyists are paid for.

8.4 Implications for political economy

The results imply that lobbying is not only a channel for transmitting policy information from organized interests to legislators. It is also a market for trusted access and political intermediation. This helps explain why former congressional staffers, White House alumni, party insiders, and well-connected lobbyists can earn high returns even when they are not narrow technical specialists.

8.5 Limitations

The measures are imperfect. Campaign contributions are a noisy proxy for relationships, and issue concentration is a noisy proxy for expertise. The paper does not directly observe meetings, conversations, or the information transmitted. Report values are measured at the team level rather than individual compensation. The results therefore identify systematic patterns in the lobbying process, not every micro-level interaction between lobbyists and politicians.

8.6 Takeaway

The enduring takeaway is that in lobbying, both whom you know and what you know matter, but whom you know appears more consistently valuable. Expertise helps explain some communication

patterns, while connections explain issue assignments, political-cycle returns, and a larger share of the monetary premium in the lobbying market.